27

The Talwar Years, 1969–1976

R.K. TALWAR BECAME THE CHAIRMAN of SBI in March 1969. He dominated the banking scene in India from the late 1960s to the mid-1970s, a time when banking was seeing a paradigm shift from ‘class banking’ to ‘mass banking.’ Talwar’s sharp intellect and forceful personality marked him out as a leader of men, and in his heyday, he was the face of Indian banking. But Talwar was much more than just a banker who knew his job. What sets him apart was the fact that he brought a moral and ethical dimension to banking. If he is remembered in banking circles today, with reverence bordering on awe, it is because he was a highly principled banker, known as much for his integrity and values, as for his professionalism.

S.A. Dave, who was Chairman of the Unit Trust of India (UTI) and had worked with Talwar in IDBI, says that Talwar combined professionalism of a very high order with great leadership qualities. Some are excellent professionals, and others are good leaders, but a combination of the two is difficult to find.[1] Also, men of vision tend to be uncomfortable with small details. Not so Talwar, who was totally comfortable with detailed analyses. In fact, he was one of the few among his peers who were comfortable with making an in-depth study of a borrower’s financial data.

Besides extending the bank’s business manifold by extending its reach, Talwar’s tenure saw the bank take several initiatives in the areas of innovative banking, rehabilitation of sick industries, and credit plans for rural development. He simplified procedures for financing of small-scale industries and launched new schemes for the benefit of small entrepreneurs,